

months after the formation of TSM and RSM signals, are run to match the previous analysis. The realised winner, realised loser, contrarian winner, and contrarian loser groups are determined using the previously described (j, h) schemes.

Table 2 summarises the performance of TSM and RSM strategies in subgroups categorised using the (12, 12) scheme from January 1985 to March 2015.¹⁸ Trading signals for four different 12-month holding periods are generated, covering the 13–60 months after the formation of the original TSM and RSM signals. Following the methodology in Jegadeesh and Titman (1993), we compute the 12-month holding period returns by averaging the returns of overlapping portfolios. We use equally weighted method to construct each sub-portfolio. For each strategy, the annualised mean return, annualised volatility, Sharpe ratio, and maximum drawdown are reported.¹⁹ Throughout the strategy evaluation part of this paper, we compute the t-statistics to check whether the returns are significant or not, using the Newey–West standard error of lag(4) (Newey and West, 1986).

As shown in Table 2, the contrarian loser portfolio generates the highest returns and Sharpe ratio across the four subgroups during the first year of the post trend-following holding period (13–24 months).²⁰ The Newey–West t-statistics suggest that all the trend-following contrarian loser sub-portfolios produce positive returns at a 1% level of significance. The realised losers also display strong reversals during both the 13–24-month and the 25–36-month periods. However, the reversal pattern is much stronger during the 25–36-month period, when all the returns of the three strategies are significant at the 1% level. Both of the loser groups, which one would expect to perform poorly (short signals) during the trend-following holding period, exhibit strong reversal during the 13–24- and 13–36-month periods. These results are consistent with the previous sign analysis.

¹⁸Similar tables using the (12, 1), (12, 3), and (12, 6) schemes are available in Section F of the Online Appendix. The results are robust across different trend-following holding periods h .

¹⁹Details of the strategy evaluation criteria are listed in Section G of the Online Appendix.

²⁰For robustness check, in Section H of the Online Appendix, we perform the same analysis by assigning the same weight (25%) for each asset class and find the consistent results. The contrarian loser show the strongest reversal effect which is statistically significant at the 1% level.